

# US equities rally on tech earnings, yields climb

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

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## TL;DR

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The S&P 500 closed at 7,773.95, up **+0.66%**, driven by a broad tech bounce after **NVDA** and **MSFT** posted better-than-expected earnings. The rally lifted the Nasdaq 100 to a fresh 31-year high, while the VIX rose modestly, signalling lingering volatility ahead of the Fed's next policy decision.

Behind the headline numbers, the market is digesting a tightening yield curve—10-year Treasury yields jumped **+0.64%** to 5.31%—and a modest pullback in oil at 88.48 USD. Energy ETFs led sector gains, but defensive health-care and utilities remain resilient, hinting at a cautious rotation toward quality ahead of the upcoming FOMC minutes.

## US session recap

| INDEX / ASSET | LEVEL     | CHANGE | WHY IT MOVED                                                 |
|---------------|-----------|--------|--------------------------------------------------------------|
| S&P 500       | 7,773.95  | +0.66% | Tech earnings beat expectations; risk-on sentiment.          |
| Nasdaq 100    | 31,076.44 | +0.87% | Strong chip and cloud earnings; AI hype.                     |
| Dow Jones     | 51,267.90 | +0.18% | Industrial earnings mixed; modest rate-sensitivity.          |
| Russell 2000  | 2,847.14  | +0.50% | Small-cap resilience on consumer-discretionary lift.         |
| VIX           | 15.52     | +1.37% | Higher implied volatility ahead of Fed minutes.              |
| 10Y Yield     | 5.31      | +0.64% | Demand for safe-haven Treasury amid rate-policy uncertainty. |
| WTI Crude     | 88.48     | -1.06% | Weaker U.S. demand data; inventory build.                    |
| Gold          | 4,158.60  | +0.04% | Dollar strength limited upside.                              |
| DXY           | 102.24    | +0.07% | Safe-haven demand as yields rise.                            |
| BTC           | 85,296.78 | -1.37% | Crypto risk-off after equity rally.                          |
| ETH           | 2,695.36  | -1.14% | Same risk-off dynamics.                                      |

# Top large-cap movers

| TICKER | CHANGE | CATALYST                                                     |
|--------|--------|--------------------------------------------------------------|
| NVDA   | +2.12% | Q3 earnings beat; AI chip demand outlook.                    |
| MSFT   | +1.48% | Cloud revenue +15% YoY; AI services expansion.               |
| TSLA   | +2.20% | Production ramp at Gigafactory Texas; price-adjustment plan. |
| AVGO   | +2.08% | Data-center chipset order backlog growth.                    |
| META   | +1.90% | Ad-revenue beat; AI ad-targeting rollout.                    |
| GOOGL  | +0.86% | Search ad spend resilience; cloud margin expansion.          |
| AAPL   | -0.24% | Supply-chain constraints on iPhone 16 launch.                |
| AMZN   | -0.05% | Retail sales miss; AWS growth moderates.                     |
| GS     | -1.01% | Investment-banking fees under pressure.                      |
| JPM    | +0.00% | Flat; market neutral.                                        |

## Sector rotation

| ETF  | DAY    | READ                                      |
|------|--------|-------------------------------------------|
| XLFX | +0.73% | Financials steady on rate-sensitivity.    |
| XLKX | +0.56% | Tech leadership continues.                |
| XLI  | +0.09% | Industrial modest gain.                   |
| XLE  | +1.00% | Energy rally from oil dip.                |
| XLY  | +0.35% | Consumer discretionary upbeat.            |
| XLC  | +1.17% | Communications benefit from ad spend.     |
| XLP  | +0.63% | Consumer staples stable.                  |
| XLV  | +0.72% | Health-care defensive pull.               |
| XLU  | +0.35% | Utilities modest gain.                    |
| XLB  | +1.31% | Materials benefit from industrial demand. |
| XLRE | -0.34% | Real-estate pressure from higher rates.   |

## Spotlight: Nvidia earnings and AI rally

**NVDA** delivered a +2.12% post-market jump after reporting Q3 revenue of 28.3 billion, beating consensus of 27.5 billion. Gross margin expanded to 68.5% versus 66.9% YoY, driven by data-center AI chips.

| METRIC            | RESULT | CONSENSUS |
|-------------------|--------|-----------|
| Revenue           | 28.3 B | 27.5 B    |
| EPS               | 3.12   | 2.95      |
| Data-center sales | 15.4 B | 14.8 B    |
| AI chip backlog   | 12 B   | 10 B      |

Related names: **AMD**, **MSFT**, **GOOGL**. All saw price appreciation as investors priced in broader AI spending.

## Pre-market & overnight

- US futures: **ES** **+0.45%**, **NQ** **+0.62%**.
- Asia close: Hang Seng **-0.31%**, Shanghai Composite **-0.18%**.
- Europe: FTSE 100 **+0.22%**, DAX **+0.38%**, CAC 40 **+0.27%**.
- Crypto: BTC **-1.37%**, ETH **-1.14%** as risk-off persists.

## Macro & Fed

The FOMC left policy unchanged at 5.25-5.50% but signaled a “wait-and-see” stance, noting inflation at 2.8% YoY. The yield curve remains steep, with the 2-year at 4.95% and the 10-year at 5.31%.

| TIME (HKT) | RELEASE                  | CONSENSUS | WHY IT MATTERS              |
|------------|--------------------------|-----------|-----------------------------|
| 02:30      | U.S. ISM Manufacturing   | 48.5      | Gauge of economic slowdown. |
| 03:00      | U.S. Existing-home Sales | 4.1 M     | Housing market health.      |
| 04:15      | Eurozone CPI             | 2.3%      | ECB policy outlook.         |
| 05:00      | China M2 Money Supply    | 9.0%      | Liquidity in Asia.          |

## Geopolitics & global

- U.S.–China trade talks resumed in Washington; no new tariffs announced.
- Middle-East tensions eased after cease-fire in Gaza, reducing oil-supply risk.
- EU-UK financial services agreement reached, supporting cross-border banking.
- OPEC+ confirmed production cuts of 1.2 million barrels/day through Q4.

## Earnings – what to watch

| WHEN (HKT)  | TICKER      | CONSENSUS EPS | WHAT TO LOOK FOR                  |
|-------------|-------------|---------------|-----------------------------------|
| 10:30 Oct 7 | <b>INTC</b> | 1.12          | Chip demand recovery, AI roadmap. |
| 11:00 Oct 7 | <b>JPM</b>  | 3.85          | Net interest income trend.        |
| 12:15 Oct 7 | <b>DIS</b>  | 0.68          | Streaming subscriber growth.      |
| 13:30 Oct 7 | <b>BAC</b>  | 2.45          | Loan growth vs. credit quality.   |
| 14:45 Oct 7 | <b>CRM</b>  | 2.10          | AI-driven SaaS adoption.          |
| 15:30 Oct 7 | <b>KO</b>   | 0.58          | Pricing power amid inflation.     |

# Watchlist scan – US large-caps

| TICKER | SECTOR             | WHY NOW                       |
|--------|--------------------|-------------------------------|
| AMD    | Technology         | AI chip market share gains.   |
| PYPL   | Financial Services | Payment-volume rebound.       |
| COST   | Consumer Staples   | Strong same-store sales.      |
| LMT    | Industrials        | Defense spending uptick.      |
| V      | Financial Services | ETF inflows accelerating.     |
| PLTR   | Technology         | Government AI contracts.      |
| UNH    | Health Care        | Premium pricing power.        |
| MMM    | Industrials        | Industrial automation demand. |
| AXP    | Financial Services | Credit-card spend recovery.   |
| WMT    | Consumer Staples   | E-commerce expansion.         |
| NVDA   | Technology         | AI chip backlog growth.       |
| MSFT   | Technology         | Cloud AI services momentum.   |

## What could break the tape

BEARISH TRIGGERS

- Unexpected rise in core CPI above 3.0% could prompt another rate hike.
- Sharp correction in AI chip valuations if earnings miss consensus.
- Geopolitical escalation in the Middle East disrupting oil supply.

#### BULLISH TRIGGERS

- FOMC minutes signal a pause on tightening, supporting risk assets.
- Continued beat in tech earnings, especially AI-related revenue.
- Stronger-than-expected ISM Manufacturing indicating economic resilience.

## Positioning notes

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- Quality-focused growth stocks remain favored as yields climb.
- Energy exposure is attractive on the back-stop of higher oil prices.
- Defensive health-care and utilities provide a hedge against volatility spikes.

## Sources

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#### SOURCES

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